

Marvell Technology Inc. (NASDAQ: MRVL)

Optics Pays Now, Custom Silicon Pays Later

Over five years Marvell has turned a diversified chip company into an AI infrastructure supplier. Data center revenue went from 40% of sales in FY2024 to 74% in FY2026, and we have it at 92% by FY2029. We initiate with a BUY and a \$317.29 target, 24.8% above the current price.

The flat years were not really flat. Revenue fell 7.0% in FY2024 and grew 4.7% in FY2025, which makes Marvell look cyclical. Underneath, two businesses were moving in opposite directions. Between FY2023 and FY2025 carrier infrastructure fell from \$1,084mn to \$338mn, enterprise networking from \$1,369mn to \$626mn, and consumer roughly halved. Over the same period data center revenue rose from \$2,409mn to \$4,164mn. Communications & Other is now about \$2.1bn, a quarter of sales, and drops to 8% by FY2029E in our model. It is too small to hide the data center trend any more, so we treat the 42.1% growth in FY2026 as the first clean read on the business.

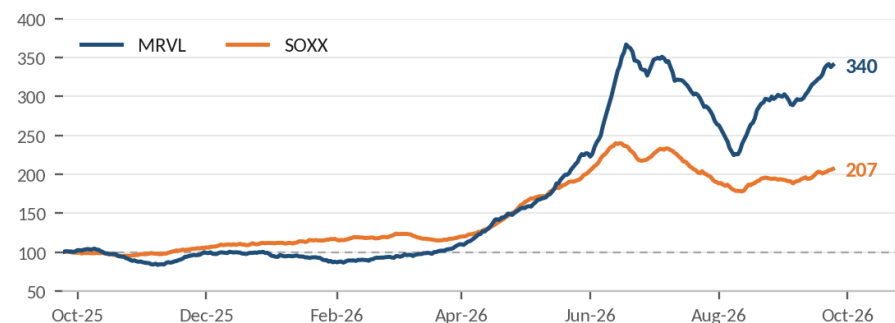
Optics is the bigger business today. Most of the debate is about custom ASICs, but electro-optics brought in roughly \$3bn in FY2026 against about \$1.6bn from custom silicon. Marvell holds an estimated 60–70% of the 800G PAM4 DSP market, its 1.6T DSP is already running at \$1bn a year, and management expects interconnect revenue to grow more than 70% in FY2027. It is also the higher-margin half of the segment. Broadcom is now selling 800G and 1.6T DSPs, so we assume Marvell gives up some share from here.

Custom silicon is the swing factor. We model custom AI silicon at \$2.0bn in FY2027E, \$4.3bn in FY2028E and above \$11bn in FY2029E, spread across AWS Trainium, Microsoft Maia and, from FY2029, Google. AWS is more than two-thirds of custom revenue this year and about half by FY2028. Management has paid roughly \$1bn in supplier prepayments and signed capacity deals with AT&S (substrates) and GlobalFoundries (SiGe) this month, which is hard to square with anything other than committed volume. The clear risk is share at AWS: Alchip reportedly won most of Trainium 3.

Gross margin down, operating margin up. Gross margin has slipped from 64.5% in FY2023 to 59.5% in FY2026, and Q3 FY2027 is guided at 57.5–58.5% as lower-margin custom parts grow. We do not model a recovery beyond 59.1% in FY2029E. The expansion comes from opex, which falls from 32.2% of revenue in FY2025 to 15.6% in FY2029E. EBITDA margin rises from 39.5% to 45.7% and EPS compounds at roughly 54% a year.

Nvidia is now partly on the same side. Nvidia invested \$2bn in Marvell in March 2026 and opened NVLink Fusion to Marvell's custom and networking silicon. Nvidia still competes in switching through Spectrum-X, but the deal lowers the risk of Marvell being designed out of Nvidia-based clusters.

MRVL vs. SOXX, 1 year (rebased to 100)



Daily closes, 24 Sep 2025 to 24 Sep 2026. MRVL +240.3%, SOXX +106.9%.

Financial summary (US \$mn, adjusted)

Fiscal year to January	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E
Revenue	5,508	5,767	8,195	12,037	18,180	26,336
Growth (%)	(7.0)	4.7	42.1	46.9	51.0	44.9
Data center share of revenue (%)	40.2	72.2	74.4	83.5	87.0	91.9
Gross margin (%)	61.2	61.0	59.5	58.4	58.1	59.1
Opex (% of revenue)	32.2	32.2	24.2	21.2	17.8	15.6

MRVL	BUY
Price target (12m)	\$317.29
Price (24 Sep 2026)	\$254.16
Upside	24.8%
Market cap	\$228.8bn
Enterprise value	\$231.0bn
52-week range	\$70.68 – \$329.88
1-year return	+240.3%
Revenue (FY26)	\$8,195mn
Fiscal year end	31 Jan

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Q2 FY2027 (reported 27 Aug)

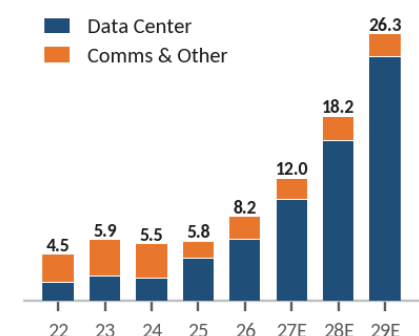
Revenue	\$2.74bn (+37%)
Data center	\$2.17bn (+46%)
Gross margin	58.9%
Operating margin	36.6%
Adj. EPS	\$0.94
Q3 revenue guide	\$3.15bn ±5%
Q3 EPS guide	\$1.05–1.15

FY2027 and FY2028 revenue guidance both raised, to about \$12bn and \$18bn.

Valuation snapshot

80% comparables, 20% DCF, weighted 70/20/10 across base, bull and bear. Target implies 30.3x FY29E EPS and 23.1x FY29E EV/EBITDA, below the 27.1x peer median.

Revenue by segment (US\$bn)



EBITDA	1,899	1,969	3,240	4,873	7,796	12,048
EBITDA margin (%)	34.5	34.1	39.5	40.5	42.9	45.7
Net income	1,310	1,377	2,518	3,842	6,230	9,567
EPS, diluted (\$)	1.51	1.57	2.89	4.34	6.98	10.47
Unlevered free cash flow	1,686	1,707	1,531	3,155	5,042	8,141
P/E at \$254.16 (x)			87.8	58.6	36.4	24.3
EV/EBITDA at \$254.16 (x)			68.9	45.8	28.6	18.5

Figures exclude amortization of acquired intangibles and stock-based compensation. Marvell reported GAAP net losses in FY2023–FY2025, mainly from amortization tied to the Inphi and Cavium deals.

Valuation

We blend a comparable-company valuation (80%) with a DCF (20%) and weight three scenarios: 70% base, 20% bull and 10% bear. In the base case, applying the peer median of 27.1x EV/EBITDA and 34.45x P/E to FY2029E gives \$372.93 and \$358.28 a share. The DCF, at an 11.0% WACC and 3.0% terminal growth, gives \$105. The blended values are \$275.12 (bear), \$313.46 (base) and \$351.81 (bull), which weight to our \$317.29 target.

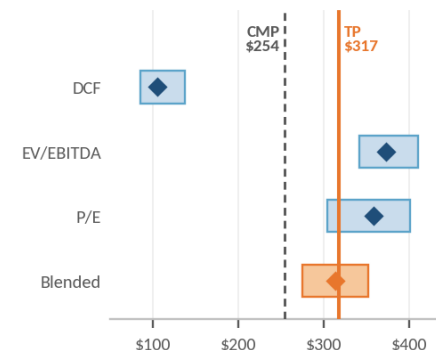
\$ per share	Bear	Base	Bull
DCF	85.20	104.90	137.43
EV/EBITDA (FY29E)	341.10	372.93	409.90
P/E (FY29E)	304.10	358.28	400.90
Blended (80% comps / 20% DCF)	275.12	313.46	351.81
Probability	10%	70%	20%
Probability-weighted target	\$317.29		

Two things we would flag. First, the DCF does not support today's price. Only three years are forecast explicitly and 86% of the value sits in the terminal year, which is why it carries a small weight. On market-value capital weights the WACC is nearer 12.8%, which would take the DCF to about \$84. Second, the peer multiples are applied to FY2029 numbers. The target therefore assumes investors keep valuing Marvell two to three years out, as they have for most of the past year. Even so, at \$317.29 the stock would trade at 23.1x FY2029E EV/EBITDA, below where the peer group trades on current numbers.

Key risks

- **Losing share at a hyperscaler.** Alchip's reported Trainium 3-win shows AWS share is contestable. A delay at Microsoft Maia would hit the FY2028–29 ramp directly.
- **AI capex slowing.** The forecast depends on cloud spending holding up. A pause would show up in revenue within a quarter or two.
- **Gross margin below 55%.** Possible if custom parts grow faster than modelled or Broadcom prices hard in optics. A 200bp miss in FY2029E costs about \$530mn of EBITDA and roughly \$9.50 off our target.
- **Supply and geography.** Leading-edge wafers come from TSMC with no real second source, and 36% of revenue is billed to China, mostly for non-Chinese customers assembling there.
- **Valuation.** At 58.6x FY2027E EPS there is little cushion. The stock fell about 44% from its June high to early August with no change in fundamentals.

Valuation range (\$/share)



Bars show bear to bull; diamonds show base case.

Peer multiples (FY2026)

	EV/EBITDA	Fwd P/E
AVGO	42.3x	20.4x
NVDA	32.8x	18.0x
AMD	47.5x	54.9x
INTC	14.1x	72.6x
QCOM	11.2x	21.3x
Median	27.1x	34.5x
MRVL	21.4x	47.7x

What to watch

6 Oct 2026: Investor Day. We expect an FY2030 revenue framework and a larger scale-up optics number than the earlier \$300mn for FY2028.

Late Nov: Q3 FY2027 results against the \$3.15bn guide.

Ongoing: Trainium share, the Maia ramp and timing of the Google programs.